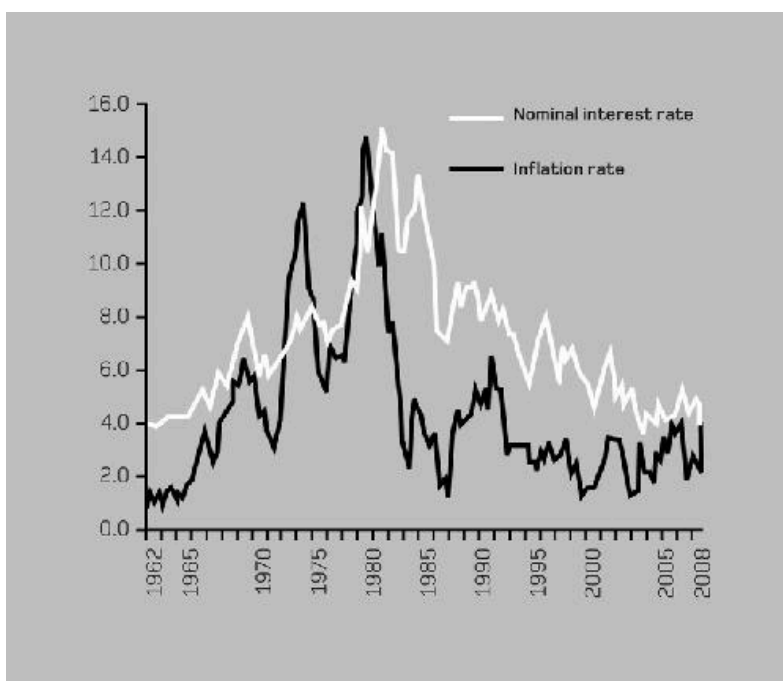


The Fisher effect

Named after US economist Irving Fisher, the Fisher effect refers to the impact of inflation on nominal interest rates, and the difference between nominal and real rates. Suppose you earn 10 per cent interest on a bond each year – how much this return is worth (in terms of what you can actually buy with it) depends crucially on the rate of inflation. If inflation had been 4 per cent then your real return would be only 6 per cent.

From this, one can see that the 10 per cent nominal interest rate can be divided into a real interest rate and the rate of inflation: the nominal rate is equal to the real interest rate plus inflation. If inflation rises by 1 per cent – perhaps because of an increase in the supply of money – then nominal interest rates should also rise by 1 per cent. Studies of trends in interest rates and inflation over time appear to confirm the Fisher effect: high inflation rates and high interest rates seem to go together.



Trends in US inflation and interest rates appear to confirm the Fisher effect.